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CSRD Readiness Checklist

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What CFOs and CSOs need to confirm before their first reporting cycle under the Corporate Sustainability Reporting Directive.

A note on how to use this checklist

CSRD is not a reporting exercise. It is a governance transformation. The organisations that will struggle most are those that treat it as a compliance deadline rather than a systems build. This checklist is designed to help leadership teams identify where their readiness gaps are before the first disclosure cycle, not after.

According to PwC's Global Sustainability Reporting Survey 2025, more than half of respondents say internal and external pressure to provide sustainability data and insights has increased over the last year, while more than two-thirds of companies already reporting under CSRD or ISSB say they are seeing significant or moderate value beyond compliance from the data gathered through the reporting process. This is reinforced by the Cost-benefit Analysis on Draft Amended ESRS by EFRAG, which estimates first-year ESRS implementation costs at EUR 287,000 for companies below 10,000 employees and EUR 1.97 million for those above that threshold, with assurance costs alone reaching EUR 115,000 and EUR 1 million respectively; the same analysis also notes that indirect assurance costs can add a further 15-25% on top of auditors' fees due to the absence of harmonised European assurance guidance.

Note: DS Consulting does not provide statutory audit or assurance. This checklist is for governance preparation purposes only.

SECTION 1: SCOPING AND APPLICABILITY

- ☐ **Confirmed your entity falls within CSRD scope and identified your first reporting year.**
Large companies: FY2024. Listed SMEs: FY2026 (opt-out to FY2028). Check EU Directive 2022/2464.
- ☐ **Identified which group entities are in scope and which consolidation approach applies.**
CSRD uses a group-level model. The parent reports for all subsidiaries unless exemptions apply.
- ☐ **Determined whether you qualify for the subsidiary exemption.**
A subsidiary can be exempt if the parent publishes a group sustainability report covering the subsidiary.
- ☐ **Confirmed your financial year and the statutory deadline for your first disclosure.**
CSRD reports are published alongside the management report, subject to the same filing deadline.
- ☐ **Identified the competent authority responsible for CSRD oversight in your jurisdiction.**
This varies by EU member state. You need to know who will audit and enforce compliance.
- ☐ **Engaged your statutory auditor on the assurance scope and timeline.**
Limited assurance is required from the first cycle. Reasonable assurance is expected by 2028.

SECTION 2: DOUBLE MATERIALITY ASSESSMENT

Double materiality is the conceptual core of CSRD. You must assess both your impact on sustainability matters (impact materiality) and their effect on your financial performance (financial materiality), independently.

☐ **A double materiality assessment process has been designed and documented.**

The process must be systematic, evidence-based, and involve stakeholder input. Ad hoc assessments will not satisfy auditors.

☐ **Impact materiality: identified actual and potential impacts across the value chain.**

Requires mapping operations, supply chain, and downstream activities against ESRS topic areas.

☐ **Financial materiality: identified sustainability-related risks and opportunities with financial relevance.**

Use your existing risk register as a starting point. Link each risk to ESRS topics.

☐ **Stakeholder consultation has been conducted and documented.**

CSRD requires evidence of engagement in the materiality process: who was consulted, when, and how.

☐ **Material topics have been mapped to the relevant ESRS disclosure requirements.**

A material topic does not automatically require all disclosures in that ESRS. Materiality drives the scope.

☐ **The materiality outcomes have been reviewed and approved at board or executive committee level.**

The board or equivalent body must be involved in approving the material topics.

SECTION 3: DATA GOVERNANCE AND COLLECTION

- ☐ **A data owner has been assigned for each material ESRS KPI.**
Data ownership is the single most important governance decision. Without named owners, collection will fail.
- ☐ **A data collection template exists for each KPI, including methodology, calculation rules, and data source.**
Templates must be specific enough that a different person following them produces the same result.
- ☐ **GHG emissions data collection covers Scope 1, 2, and material Scope 3 categories.**
Scope 3 coverage must be based on your materiality assessment. All 15 categories should be assessed.
- ☐ **The GHG calculation methodology is documented and aligned to GHG Protocol or ISO 14064.**
Auditors will ask for your methodology. It must be written down, not held in one person's head.
- ☐ **Data quality controls are in place: validation rules, reasonableness checks, and exception handling.**
The evidence trail must show that controls were applied, not just that they exist.
- ☐ **The data collection timeline is aligned to your financial close process.**
Sustainability data that cannot meet the financial reporting deadline will delay the entire annual report.
- ☐ **A value chain data collection approach has been designed for material Scope 3 categories.**
Primary data from suppliers is preferred. Where estimates are used, methodology must be documented.

SECTION 4: GOVERNANCE STRUCTURE AND CONTROLS

- ☐ **Board-level sustainability governance is documented: roles, responsibilities, and oversight frequency.**
ESRS G1 and ESRS 2 GOV require disclosure of governance structure. It must exist before you can disclose it.
- ☐ **A sustainability reporting team has been identified with clear ownership of the reporting process.**
Must include finance, legal, operations, and sustainability. Reporting cannot sit in one function alone.
- ☐ **An internal review process exists for sustainability disclosures before publication.**
Who reviews, who approves, and what sign-off is required must be documented.
- ☐ **Evidence trails are maintained for all material KPIs: source data, calculations, and approvals.**
A reviewer must be able to trace a published number back to its original source without asking the preparer.
- ☐ **A CSRD disclosure calendar has been created covering data collection, review, and filing milestones.**
Work backwards from your filing deadline. Most organisations underestimate the time required for review cycles.
- ☐ **Legal have reviewed the disclosure requirements and confirmed the report format and filing mechanism.**
CSRD reports must be filed in XHTML with iXBRL tagging for companies subject to ESEF requirements.

SECTION 5: ASSURANCE READINESS

CSRD requires limited assurance from the first reporting cycle. Assurance readiness means being able to show an auditor how you got to each number, not just that you have the number.

- ☐ **Your statutory auditor has been briefed on CSRD assurance scope and has confirmed capability.**

Not all audit firms are equally prepared for CSRD assurance. Confirm early.

- ☐ **A pre-assurance readiness review has been scheduled, internal or with an advisory firm.**

A dry-run before the auditor arrives prevents last-minute crises and scope creep.

- ☐ **All data collection processes, controls, and evidence trails are documented in a form an auditor can review.**

Documentation for internal use and documentation for audit purposes are not the same thing.

- ☐ **Your narrative disclosures are aligned to your quantitative KPIs - there are no inconsistencies.**

Auditors will check that narrative claims are supported by data. Inconsistencies are a red flag.

- ☐ **A policy register exists covering all CSRD-relevant policies, environment, social, and governance.**

Policies must be approved, dated, and accessible. If a policy does not exist, create it before the reporting cycle.

Your next step

If fewer than 70% of these items are confirmed, your organisation carries material assurance risk in its first CSRD reporting cycle. The items in Section 3 and Section 5 have the longest lead times and should be prioritised first.

DS Consulting helps leadership teams close these gaps through advisory and implementation: scoping, data governance design, evidence trail build, and assurance readiness preparation. We do not provide statutory audit or assurance services.

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Ready to close the gap?

DS Consulting helps leadership teams turn fragmented tools and requirements into governed systems with measurable execution. Advisory plus implementation.

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